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NVIDIA Corp Earnings Call [View on the Bloomberg Terminal](#)

02/21/24

Guidance

- Total revenue is expected to be \$24 billion ($\pm 2\%$) for Q1, with sequential growth expected in data center and pro visualization, partially offset by seasonal decline in gaming
- Gross margins for Q1: - GAAP: 76.3% (± 50 bps) - Non-GAAP: 77% (± 50 bps) After Q1, gross margins expected to return to mid-70s percent range for remainder of year
- Operating expenses for Q1 and FY2025: - Q1 GAAP: ~\$3.5B - Q1 Non-GAAP: ~\$2.5B - FY2025: Expected to grow in mid-30% range
- Other income/expenses expected to be income of ~\$250M (excluding gains/losses from non-affiliated investments)
- Tax rate expected to be 17% ($\pm 1\%$) excluding discrete items

Margin Story

- Q4 GAAP gross margins were 76% and non-GAAP gross margins were 76.7%, driven by strong data center growth and mix, with favorable component costs
- For Q1 2025, NVIDIA expects GAAP and non-GAAP gross margins of 76.3% and 77% respectively (± 50 basis points), again benefiting from favorable component costs
- Beyond Q1 2025, gross margins are expected to return to the mid-70s percent range for the remainder of the year
- The primary driver of gross margins going forward will be product mix

AI Strategy

- NVIDIA estimates that approximately 40% of their data center revenue came from AI inference workloads
- Generative AI has enabled a new type of data center called "AI factories" that transform raw data into valuable intelligence
- Major cloud providers and enterprises are using NVIDIA's AI infrastructure for both training and inference of large language models
- The company is seeing significant adoption of AI across various industries including automotive, healthcare and financial services
- NVIDIA's AI software and services business reached a \$1 billion annualized revenue run rate in Q4
- The company is working with major AI companies and startups developing foundation models and LLMs
- NVIDIA is seeing increased demand for sovereign AI infrastructure as countries want to build AI models using their own language and data

Cloud Strategy

- NVIDIA announced DGX Cloud will expand to include AWS, joining existing partners Microsoft Azure, Google Cloud and Oracle Cloud. DGX Cloud is used for NVIDIA's own AI R&D and brings

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the CUDA ecosystem to cloud service provider partners.

- Large cloud providers represented over half of NVIDIA's data center revenue in Q4, supporting both internal workloads and external public cloud customers.
- Companies are deploying NVIDIA AI infrastructure through multiple channels including cloud providers (hyperscales, GPU specialized and private clouds) or on-premise, with NVIDIA's computing stack extending seamlessly across these environments.
- Cloud service providers have large engineering teams that work directly with NVIDIA's engineering teams to maintain and optimize the complex software stack needed for accelerated computing.

Orders

- Demand for Hopper architecture products remains very strong, with next-generation products expected to be supply constrained as demand exceeds supply
- The company allocates products fairly while trying to avoid unnecessary allocation when data centers aren't ready
- The company works closely with customers to understand and plan for their future demand needs

Inventory

- The company aims to immediately ship inventory as it arrives to meet customer schedules
- NVIDIA's purchase commitments include both manufacturing components and capacity reservations, with timeframes ranging from two quarters to multiple years
- The company maintains prepaid arrangements to secure manufacturing capacity with suppliers
- The aggregate supply position (inventory + purchase commitments + prepaid supply) showed a slight decline, but management indicated this shouldn't be interpreted as meaningful given the different timing aspects of these components

Competition

- NVIDIA has established itself as the de facto standard for AI infrastructure, with their Hopper architecture and InfiniBand networking becoming the standard for AI-dedicated computing
- In networking, NVIDIA is expanding from their dominant InfiniBand position into the ethernet space with their new Spectrum-X product, which delivers 1.6x higher networking performance compared to traditional ethernet
- In the automotive AI space, NVIDIA claims near total market penetration

Market Share

- NVIDIA's InfiniBand has become dominant in AI infrastructure, with the company stating that "NVIDIA Quantum InfiniBand is the standard for the highest performance AI-dedicated infrastructures"
- In the automotive sector, NVIDIA has near-total market penetration for AI development, with "nearly every automotive company working on AI is working with NVIDIA"
- For China specifically, NVIDIA indicated their data center revenue represented "a mid-single-digit percentage" of total data center revenue in Q4, expected to remain at similar levels in Q1

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Capital Allocation

- In Q4 FY24, NVIDIA returned \$2.8 billion to shareholders through share repurchases and dividends
- For the full fiscal year 2024, NVIDIA returned \$9.9 billion to shareholders, with \$9.5 billion specifically in share repurchases

Labor

- Operating expenses increased sequentially partly due to employee growth
- The company plans significant operating expense growth in fiscal 2025 to invest in opportunities, though specific hiring plans were not detailed

Macro Environment

- The document contains no direct discussion of macro factors like interest rates, inflation, GDP growth, or broader economic conditions. The only consumer-related mention was brief commentary about solid consumer demand for gaming GPUs during the holiday season.

Supply Chain

- Overall supply is improving across components including wafers, packaging, memories, power regulators, transceivers, networking and cables
- The Hopper GPU is highly complex with 35,000 parts and weighs 70 pounds, making supply chain management challenging
- While overall supply is improving, demand is expected to exceed supply through the year, particularly for new product launches which need to ramp up gradually
- The company manages inventory through various mechanisms including: - Direct inventory that is quickly shipped to customers - Purchase commitments for components and manufacturing capacity - Prepaid arrangements to reserve manufacturing capacity
- Gross margins in Q4 and Q1 benefited from favorable component costs across compute and networking

Pricing

- The company charges \$4,500 per GPU per year for their NVIDIA AI Enterprise software platform
- They announced a new GeForce RTX 40 Super Series GPU family starting at \$599
- Gross margins benefited from favorable component costs in Q4 and Q1, but are expected to return to mid-70s percent range for the remainder of the year

Product Development

- NVIDIA is on track to ramp H200 GPU with initial shipments in Q2, with demand expected to be strong as it nearly doubles the inference performance of H100
- The company launched new GeForce RTX 40 Super Series GPUs starting at \$599, with sales reported as off to a strong start
- NVIDIA announced new RTX 40 Series AI laptops from major OEMs, featuring up to 60x better generative AI performance

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- The company launched Spectrum-X, a new ethernet networking product optimized for AI, with shipments starting this quarter
- NVIDIA announced Avatar Cloud Engine (ACE) microservices for developers to integrate AI models into digital avatars

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